About TCJ

Program management and value assurance

This playbook contains all the pieces and parts that make up our approach to transforming customer journeys. This is a living document and the latest version can be found on TCJ's Confluence site.

Last updated in May 2019

CIMB

How this module fits into overall TCJ Playbook

Transformation Design

Overall TCJ strategy
- 5-year roadmap
- Economics

Cross-journey elements
- Journey Team org blueprint and agile way of working
- Journey Team Model Office

Technology Enablement

Tech
- Target architecture
- DevOps
- Tech Execution Plan

Journey N

Retail CASA Journey

Commercial Lending Journey

Planning
- Understanding of business
- Map of sub-journeys
- As-is diagnostic of sub-journeys
- Assessment of potential impact
- Prioritization
- To-be journeys
- Delivery roadmap

Incubation
- Zero-based design
- Finalized product roadmap
- Backlog development
- OKRs and targets
- Squad onboarding

Waves
- MVP
- Test and learn
- Roll-out plan (Biz and Tech)

Transformation Management

TCJ organization and governance

Organization of TCJ (e.g., Structure

Governance within TCJ and **interactions and dependencies with the bank** (e.g., Decision making processes, decision making bodies)

Program management and value assurance (e.g., PMO processes, value/performance management, dashboards)

Talent

Recruiting targets and pipeline | Onboarding | Capability building | Retention, career progression and management

Culture and change management

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How do we ensure program is executed on time and delivers value as expected?

- **Overview of TCJ value assurance**
- Tools and dashboards used in TCJ
- How to operationalize the dashboards
- Sample dashboards generated in DevOps toolings
- Sample tools for measuring Sustainability

Key principles of OKRs

Objectives

- **What** we want to achieve

- **Qualitative**
- **Actionable** by the team
- **Simple** / One sentence
- As **independent** as possible

Key Results

- **How** to achieve objective
  (in the form of metrics and deliverables)
- Measurable and **quantifiable**, indicating if advances have been made
- Make the objective **achievable**
- Clear **method for grading**
- Combine **opposing forces / trade-off** if possible

OKR overall characteristics

- **Inspirational** / Motivational
- Time bound and in **Short cycles** (quarterly)
- **Simplicity**
- **Transparency**
- Defined both **top-down and bottom-up** (~ 60% defined bottom-up)
- Leverage **Stretch goals** (~ 0.6 to 0.7 achievement rate – “difficult, not impossible”)
- Organization-wide: **3-5 Objectives** and 3- **5 Key Results per** Objective
- **OKRs are shared by all members in TCJ and the Journey Team**

Benefits – Why use OKR

	Description
Agility	**Short cycles** allows quick adjustments and **better adaptation to changes**, reducing risks
Clear communication	Transparency allows that the **team understand organization's goals and priorities**, as each one's role
Cooperation enhancement	**Shared success** criteria **enhance cooperation** among teams
Focus and discipline	**Limited number of goals generates organization focus** and disciplines efforts
Autonomy	**Teams have clear guidance and freedom** to reach its objectives
Accountability	**Everyone** starts to be **responsible for their objectives**, with clear success criteria, known by the whole company
Business focus	**Goals targeting business results**, not effort
Light and flexible	**Every company can adapt it to its own way**
Stretch goals	Goals that makes the team **go out of comfort zone and rethink how to work**

What to keep in mind while defining OKRs

Dos

- **Be bold** defining the OKRs, stretching it
- **Focus** !!!
- Make it a part of **daily routine** (frequency reminders, measurement, mentions)
- Make it **public and visible**
- **Avoid in course** revisions **changes** (specially quarterly OKRs)
- **Be prepared to not achieve every KR every period**
- **Start small, then grow** it to involve **entire organization**
- **Adapt** it

Don’ts

- Use OKRs as core **performance evaluation / bonus** definition mechanism
- Define **too many OKRs**
- **Including tasks** as KRs
- **Unreachable objectives**
- **Isolate teams**, don’t mind the interdependences
- **Be Rigid**, try to stick the one single way of implementing methodology

SOURCE: http://www.leanperformance.com.br/okr/erros-comuns-okrs/

‘What-how’ principle – how OKRs empower teams to take decisions and are accountable for delivering impact

Illustration of ‘What-How’ principle

"Do what"

The higher level (e.g. TCJ leadership, Journey leads) sets the direction in the form of **"what goals to achieve“** or **"what to do"**...

Task breakdown

"Do how"

…, and the execution teams (e.g. Product Owners, team members) decides for itself **"how"** to do it

Fundamental changes from traditional target-setting

From …	To …
Leaders decide *what to do* and teams execute	Leaders decide *where to go* and **teams decide *how to get there***
Teams work to deliver **tools, features and processes** – separate entity “runs the organization”	Teams have **E2E accountability** for commercial impact across change and run (wherever possible)
Teams work on long-horizon project, and are **followed up on project progress**	Teams launch pilots or MVPs each quarter (or more frequent), and are **followed up on impact**

OKRs are defined by Journey Team Leadership; Squads can decide how to do it

What to achieve
Goals to achieve + targets to reach

How to do it
How to achieve and measure impact

Defined by		**TCJ Leadership**	**Journey Team**			**Squad**
		Head of TCJ, Head of Value Assurance	Journey Lead, Product Owners, Journey Tech Lead			Product Owner + members
Frequency	Defined during…	TCJ setup	Journey Design	Journey Design and Incubate	Start of Wave	Start of Wave	Start of Sprint
	Refreshed every…	1-3 years	2 quarters	2-4 quarters	1-4 quarters	1 quarter	1 sprint
	at this forum	**QBR**			**Agile ceremonies**		
Goal-setting artefacts		**Strategic themes**	**Objective 1** / **Objective 2**	**Key Results** / **Key Results**	**Epic**	**Feature** / **Feature**	**Story** / **Story** / **Story** / **Story**
Example for Commercial Lending Journey Team:		"Become the preferred bank for commercial lending across all segments by Q1 2020 and improve CI ratio to X%"	"Help mid-corporate customers get new CAPEX with end-to-end TAT of 1 month" "Reduce lending only C/I from 33% to X%"	"Increase RM submission from 0.7 to 1 case per month" "Increase credit approver cases from 3 to 5 per month"	"Create a new online RM/MSF mobile app to enable RMs to onboard customers online"	"Enable RMs to upload documents for sanction and disbursement online"	"Create form to input details of loan application"

Overview of OKRs across TCJ

PRELIMINARY

Vision: "To be the #1 bank of choice providing consistent WOW experiences"

TCJ program benefits

Customer Experience
Fundamental re-imagination of **omnichannel customer experience**

Financial Impact
Deliver **$X financial impact** through cost savings and **revenue generation**

Capabilities
Build **critical internal capabilities** and **transform culture** to make CIMB a **magnet for digital talent**

Culture & ways of working
Transform ways of working and shift mindsets through **customer-obsessed 'purpose driven focus'** and agile methods and practices

	Journey #1 – Commercial Lending				Journey #2 – Retail CASA		Journey #3	Journey #4	Journey #5
Objective	"Become the preferred bank for commercial lending across all segments by Q1 2020 and improve CI ratio to xx%"				"Become the preferred bank for new mass, Preferred and payroll customers"	"Improve customer experience and retain more existing customers"			Additional Journey Teams ⋮
Key Result	Lead generation	Customer onboarding	Credit evaluation	LO and disbursement					
	# of cases submitted per RM per month	Avg. # of doc requests to customer	# of cases approved per month	Avg. TAT for LO creation and disbursement					
Secondary metrics	# of cases opened	Avg. time in this stage	# of cases/ credit evaluator # of cases/ credit manager	Revenue per customer					
Tertiary feature-level metrics[1]	Bounce rate Time on site	FAQ usage # of docs							

1 To be defined by delivery squads during Incubate and Waves

Guiding principles for designing Objective and Key Results for TCJ

Objective

Objectives for each Journey Team is defined by the **sub-journeys** that each Journey Team will focus on

Objective should be **broad enough**

Key Results

1. Key Results should be **directly linked** to the underlying journey
2. Key Results can be **specifically influenced by interventions** undertaken in TCJ
3. Key Results are **trackable** on an ongoing basis and current performance can be **baselined**
4. Key Results will be a combination of **business outcomes and inputs**

Process / Ceremonies for performance management in TCJ

Deep-dive to follow
Typical interaction
Interaction as needed

Level	Interaction between units in TCJ org structure	Ceremony	Description
TCJ Leadership	ExCo	TCJ Leadership meeting	▪ TCJ Leadership sets the **budget** on a **yearly basis** and adapts the budget on a **quarterly basis** within the QBR. ▪ Exco sets "what needs to be accomplished next quarter" by providing a list of prioritized themes and business objectives per Journey Team. ▪ Exco continuously monitors **performance** and handles **escalations.**
Cross-Journey Team	Journey Team 1 Journey Team 2	Quarterly Business Review	▪ **QBR** ceremony is the key process for TCJ Leadership to ensure alignment of cascading objectives to the Journey Teams, & alignment of Journey Team deliveries across Journey Teams. It reflects on last quarter performance & fixes the agreements about high level **goals**, **priorities, dependencies** & **distribution of capacity** between Journey Teams.
Cross-Squad (cross-Journey Teams as needed)	Squad Squad Squad Squad	PO Sync	▪ Product Owners and Journey Team Lead meet regularly to update **synchronized product / Journey Team roadmaps** to plan further activities of the squads and whole Journey Team. POs map dependencies cross products and design resolution measures. POs of other Journey Teams may participate when needed.
		Scrum of Scrums	▪ Squads working on the same platform or product gather with the Scrum Masters and Architects to **coordinate activities on related features** and stories, resolve dependencies, and synchronize releases.
Within Squad	Squad Squad	Squad Ceremonies	▪ POs review, prioritize and update backlogs and develop acceptance criteria. Dependencies between stories and features are identified at daily ceremonies and during planning by the squad, if needed – scrum master or squad members reach out to other squads to resolve impediments.

Quarterly Business Review (QBR) – Key performance mgmt. and alignment

Purpose

- One comprehensive, end-to-end process that aligns plans and allocates resources and people to meet the organisation's objectives
- Ensures the cascading of and alignment to TCJ overall strategy
- Facilitates allocation and reallocation of resources and people between organizational units

Overview

- Each Journey Team writes down what it achieved over the last quarter and its biggest learning, celebrating both successes and failures and articulating what it aims to achieve over the next quarter
- It also articulates which other Journey Team or squad it will need to link up with.
- The QBR documents are available openly for all Journey Teams to offer input and feedback, and this is shared transparently across the bank.

We need the QBR to: -

- Take account of the fact that in a fast moving environment annual cycles are too long
- Review previous quarter's performance
- Maximise transparency across the company
- Facilitate organisation wide alignment around priorities and budgets
- Ensure that our people and resources flow to the highest value activities

Frequency and duration

- **Frequency:** Quarterly
- **Duration:** 6 week process (during last half of each quarter)

Event participants

- Head of TCJ
- Members of TCJ Central Team (Head of Value Assurance, Head Tech Solution Delivery)
- Journey Lead
- Journey Team Business Sponsor

Pre-requisites

- To start the QBR, the LS will look at the latest updates from across the organisation, including:
- Financial and operational **performance update**
- **Market update**, including key outtakes
- **Capex update**, including view of remaining budget and drawdown status for in-flight projects
- **Resource update**, including view of in-flight activity that will result in changes to available resources
- **Existing strategic priorities**

Activities

- The QBR process will consist of **three phases** running over a period of six weeks
- **Phase 1:** Framing of priorities and capacity
- **Phase 2:** Memo preparation
- **Phase 3:** Trade-offs & Implementation

Each Journey Team prepares a standardized QBR memo

What is a QBR memo

- QBR memos are the **key source of information** for a comprehensive understanding of what the organisation is delivering. This implies the importance of ensuring that the memo is a comprehensive, well-structured and well-written document that lives up to quality standards
- The QBR memo is all about intentions and expected impact for the coming period(s). The quarterly reflection on achieved results allows us the flexibility to adjust and improve our plan forward. Quarterly **review of all OKRs** will help us to learn and develop OKRs that have the right ambition level

Why it should be a standardized template?

- Improve consistency of QBR format in order to reduce the effort it takes to understand what a Journey Team is working on and to allow more easy navigation between other memos
- Improve memory, evaluation and feedback on achieving objectives and on delivering committed impact
- Strengthen the link between current delivery targets and commercial/financial business results
- Better balance qualitative prose and quantitative data and align across Journey Teams/CoEs
- Clarify link to delivery milestones for transformation programs

QBR Memo prepared by each Journey Team

Key Result (1-3 per objective)
- Must be measurable
- Can be just an Outcome (i.e., measured as complete/incomplete)
- Can also be a Metric, in this case it must be quantifiable, i.e., it must include a number (absolute or %

Results for previous quarters
- Evolution of Key Result over the previous 2 quarters
- If the Key Result is newly introduced in current QBR cycle, "Review past quarters" part remains blank

Year to date
- Cumulative result on the objective achieved in the last 12 months

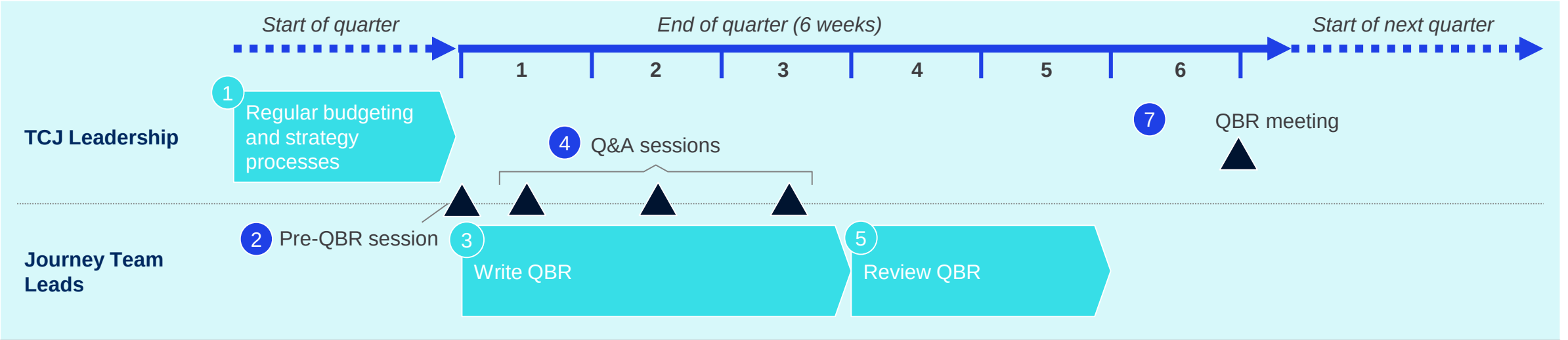
Epic
- All relevant epics that will help you achieve the Objective in the upcoming quarter

Dependencies
- All relevant dependencies on other Journey Teams / CoEs / Programmes

Relates to (Joint) priority
- Specific Joint priority/Joint Key Result (as presented in pre-QBR),

					Review past quarters				Preview next quarter delivery	
	Key result	**Relates to Exco priority**	**Metric & unit**	**Target**	**Result** (2 quarters ago)	**Result** (previous quarter)	**Result** (quarter to date)	**Review outcome/ insights** (impact delivered, reflections, learnings)	**Epic and impact to be delivered**	**Dependencies** (outgoing and/or incoming dependencies)
<Objective name>	…	…	…	…	…	…	…	…	…	…
<Objective name>	…	…	…	…	…	…	…	…	…	…

The memo is prepared and discussed over 6 processes



1. **Exco sets the budget on a yearly basis and adapts the budget on a quarterly basis within the QBR.** The unit of budgeting could be the Journey Team and a Journey Team's budget equals its size in FTE.
   This creates a very tight connection between budget, desired business objectives and all necessary delivery capabilities.

2. **Exco sets the "what needs to be accomplished next quarter" by provide Journey Team Leads with priorities by releasing:**
   - **A list of prioritized Themes** that embody the vision and strategy of the bank, which can be Hub-specific or group-wide.
   - **A list of expected business objectives per Journey Team**

3. **Journey Team Leads draft and publish a 5-10 page QBR Memo, which includes a retrospective of last quarter, as well as the Key Results and Epics for the next quarter.** To do this, the Journey Team Lead translates the Strategic Themes and Business Objectives relevant for the Journey Team into Key Results.

4. During the drafting of the QBR memo, **Q&A sessions with Exco** are set up to provide Journey Team Leads the opportunity **to receive extra guidance on their objectives, roadmap or impediments.**

5. **Journey Team Leads read and comment on the QBR Memo drafts of other Journey Team Leads** in order to clarify questions and identify the dependencies

6. **A joint meeting with Exco and Journey Team Leads** is held to:
   - Decide how to **resolve cross-Hub dependencies that are still open**.
   - **Validate that the current budget (resource) level is adequate** for the Objectives and Key Results of last quarter and make adjustments if necessary

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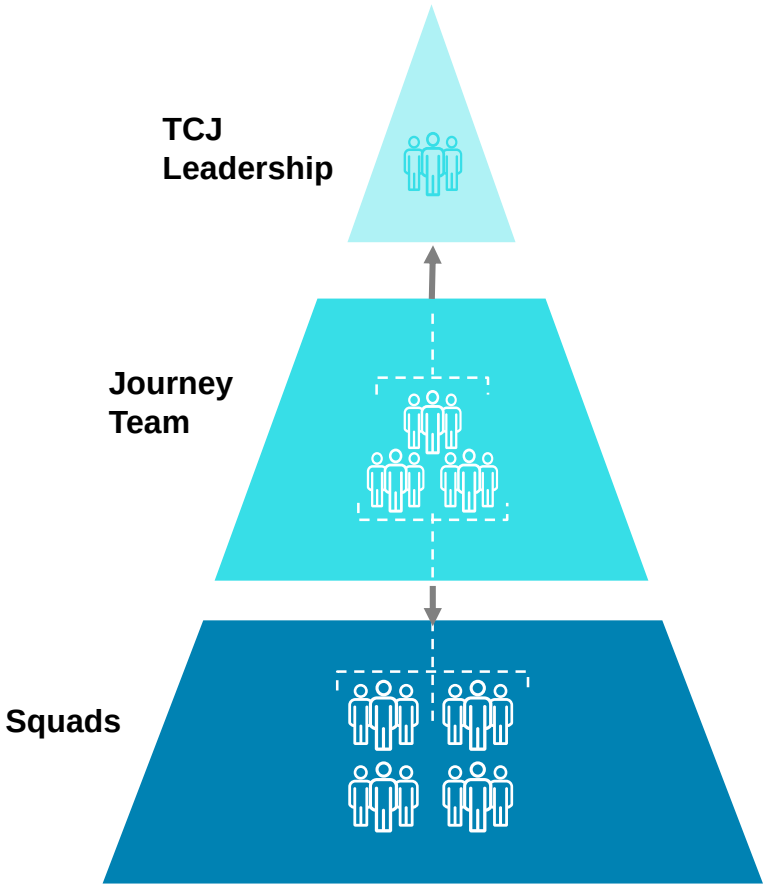
Principles for TCJ dashboards

Design principles	Description
Balanced metrics	▪ **On top of measuring outputs (OKRs and metrics), dashboards should also measure health (e.g., team barometer), inputs (e.g., spend), process (e.g., velocity)**
Top-bottom alignment	▪ Metrics defined at lab and Squad / squad level, and aggregated upward to value stream / Journey Journey Team and exec levels ▪ Squad metrics are linked to TCJ OKRs, to enable root cause investigation
Single source of truth	▪ Dashboards will integrate existing reporting and is intended to become the single performance management and reporting system for the end-to-end transformation
Embedded into existing forums	▪ Leadership team should use dashboards to enable decision-making in existing forums (e.g. executive committee meetings) ▪ Journey Teams and Squads / squads should embed and use dashboards into existing sprint ceremonies (e.g., sprint planning, sprint retrospective)
Continuous improvement	▪ Squads / squads should be empowered to iteratively test and learn which metrics are most impactful / useful to track
Sustainable	▪ Data gathered at Squad level and automatically recorded and aggregated where possible ▪ Leverage existing data, reporting processes, and systems as much as possible ▪ Simple, interactive and web0enabled, enabling customized views and drill-downs
Enable decision-making	▪ Metrics should enable transparency on progress against transformation objectives, and effective decision-making / debottlenecking at all levels
Comparable	▪ Key metrics are comparable across Journey Teams enabling aggregation and “portfolio allocation” decisions

The metrics are compiled on a tailored dashboard for each TCJ Level at appropriate levels, to facilitate required discussions and decisions



Purpose of dashboard

- Review **progress on strategic priorities and financial targets**
- **Resolve major execution risks/ blockers, re-prioritize initiatives** across portfolio as needed

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- Discuss **progress against 6-month OKRs** - spanning outcomes, delivery efficiency and sustainability
- **Prioritize backlog** for Journey Team based on OKRs and Test & Learn results
- **Resolve execution delays, agree issues for further escalation**
- Monitor **performance and sustainability** across squads

- Use in **sprint retrospectives** to discuss progress on backlog, agree on key next steps, and identify blockers to be escalated (e.g., availability of testing environment)
- Monitor **delivery efficiency and sustainability** in Squad / change team, and **agree on specific actions to resolve issues**
- **Celebrate key successes** (e.g., customer impact), and reflect on opportunities for **continuous improvement**

TCJ Leadership Dashboard – overview of contents

Category	Description
Summary	▪ Qualitative explanation of overall summary, key successes and main blockers/ issues across Journey Team
Outcomes / OKRs	▪ Status of each OKR (on-track, minor deviation from target, significant deviation) ▪ Description of 3 year objectives, 6 month objectives and key results for Journey Team ▪ Quantification of OKRs, 3 month confidence trend and commentary on actions being taken to meet target
Financials	▪ Comparison of budget and actual Journey Team expenditure ▪ Summary of cost and revenue benefits for the year to date
Delivery	▪ Schedule variance for TCJ ▪ Aspiration, current status and status of Squads (on-track, minor deviation, significant deviation) for pace and quality metrics across Agile portfolio of Journey Team ▪ Status of key dependencies within Journey Team, along with plan to interlock or resolve
Sustainability	▪ Comparison of aspiration and actual metrics for indicators of People and Health (e.g., Team Health) ▪ Status of capability building across key skills within TCJ ▪ Status of resource planning across TCJ
Strategic metrics	▪ List of key strategic metrics, showing prior year baseline, current year aspiration, current year estimate, status and commentary on status
Risks and dependencies	▪ Status of key execution risks that could affect TCJ delivery and outline of planned path to mitigate key risks
Compliance	▪ Status of TCJ's compliance milestones and critical milestones (on-track, minor deviation, missed)

TCJ Leadership Dashboard – Summary

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

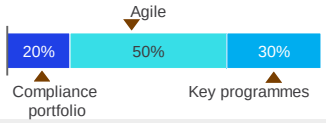
ILLUSTRATIVE

TCJ Summary

Business Area Lead	All
Product Owner	All
Technical Architect	All
Date	20/04

OVERALL TCJ FINANCIALS

Breakdown of 2018 Investment



Investment				Cost Benefits				Revenue Benefits			
2018 YTD		2018 FY		2018 YTD		2018 FY		2018 YTD		2018 FY	
20	12	69	61	0	0	3	4	4	0	46	46
Bud	Act	Bud	Act	Bud	Act	Bud	Act	Bud	Act	Bud	Act

Sustain-ability

Overall Summary

…

Financial Deep dive

Key successes in this cycle

…

OKR Deep dive

Major blockers/issues

…

2. DELIVERY

A. Portfolio of Journey Teams

	Journey Team 1	Journey Team 2
% of TCJ investment	37%	30%
Schedule variance		
Budget variance		
Deliverables/Benefits		

B. Portfolio of Compliance programs

Compliance milestones: 100% — Minor deviation

Critical milestones: 5% Missed, 55% Minor deviation, 40% On track

C. Agile delivery efficiency

PACE	2018 Aspiration	Journey Team 1 Current	No of squads
End-to-end cycle time, weeks	10	10-16	2, 1
Automated test coverage, %	85%	70%	1, 1, 1
QUALITY			
Incidents in Production, # in last sprint	8	10 - 13	3

D. Dependencies

Dependency	Owner	Target date to resolve	Dependency management update	Status
Workflow automation depends on RPA	John	December 2018	Dependency now Interlocked	

3. EXECUTION RISKS

Execution Risk	Status	Path to Green (if Pink)
Incidents in Production		

To be customised as per client context

4. STRATEGIC METRICS

Metric	2017 Baseline	FY 2018 Target	Current	Status	Comments
Direct Mortgage Market Share, %					
Portfolio delivered through Agile, % of investment					
…					

5. OUTCOMES

Outcome type	# of OKRs	Significant deviation	Minor deviation	On track
Customer	3	1	1	1
Business	2	0	2	0
Risk	2	0	1	1
Architecture	1	1	0	0
Delivery effectiveness	1	0	1	0

TCJ Leadership Dashboard – Sustainability

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

ILLUSTRATIVE

TCJ Summary

Sustain-ability

Financial Deep dive

OKR Deep dive

Value stream	Mortgages
Business Area Lead	…
Product Owner	…
Technical Architect	…
Date	20/04

Overall Summary

…

Key successes in this cycle

…

Major blockers/issues

…

PEOPLE AND HEALTH

	2018 Aspiration	Current
Team Health	70% Happy	34% Happy
Number of vacancies overdue by more than two weeks, #	10	15
Tooth-to-Tail Ratio (ratio of do-ers to managers), %	80%	50%
Team Churn (% team members in same role for > 3 months)	70%	65%
Internal FTE (ratio of permanent employees to all team members), %	50%	22%

CAPABILITY BUILDING

Key skills	No exposure	Develo-ping	Skilled	Expert / Coach
Agile Ways of Working	60%	20%	20%	0%
Agile Delivery Methodolo	60%	20%	20%	0%
Service Design	30%	20%	20%	30%
Systems Thinking	20%	30%	15%	35%

By Journey Team

		Journey Team 1	Journey Team 2
Capabilities	Availability of key skillsets		
People and Health	Team health & staffing		
	Working hours		
Resource planning	Vacancies filled		
Technology	Infrastructure availability / service		

TCJ Leadership Dashboard – Financial

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

ILLUSTRATIVE

TCJ Summary

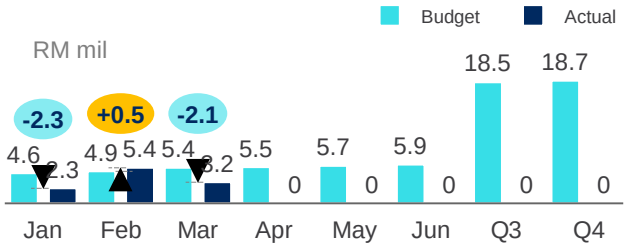
Sustain-ability

Financial Deep dive

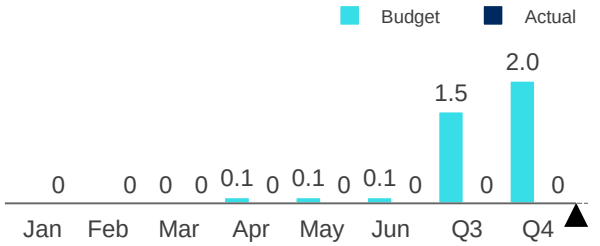
OKR Deep dive

Financial summary

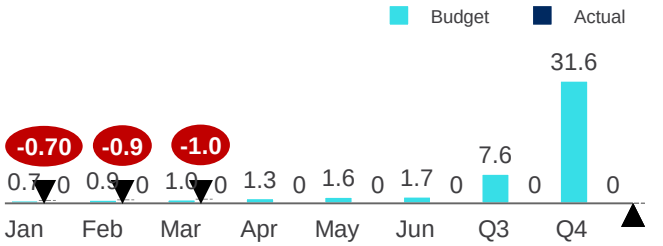
Cash Spend (2018)



Cost Benefits (2018)



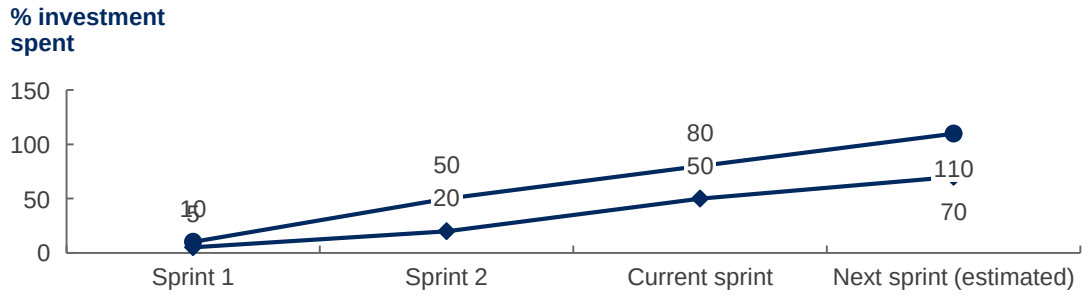
Revenue Benefits (2018)



Financials by product

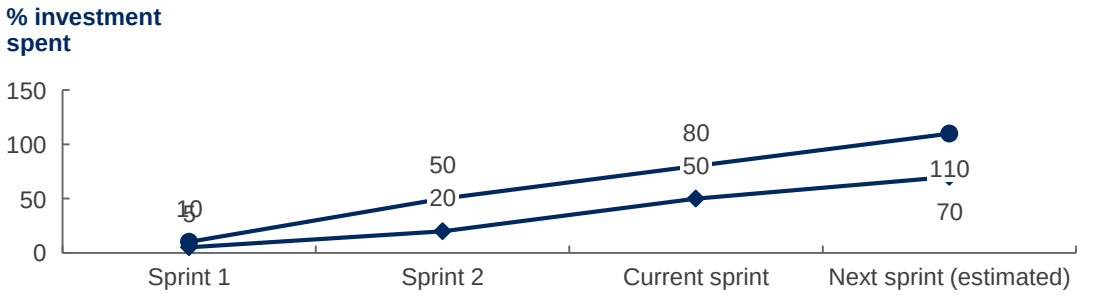
Journey Team 1

Investment spent vs. stories delivered



Journey Team 2

Investment spent vs. stories delivered



Major Squads and Compliance Portfolio

Major Squads and Compliance Project	Status	Cash spend		Benefits					
				Cost			Revenue		
		Total forecast	% spent YTD	Budget	2018 target	2018 estimate	Budget	2018 target	LV
Project 1		X	X%	X	X	X	X	X	X
Project 2		X	X%	X	X	X	X	X	X

TCJ Leadership Dashboard – OKR Deep-Dive

ILLUSTRATIVE

TCJ Summary

Sustain-ability

Financial Deep dive

OKR Deep dive

OUTCOMES / OKRs

	3 year Objective	6 month objectives	6 month Key Results	Current Phase	2017 Base-line	H1 target	Curre nt	Confidence level, (0-100%) 2 months ago	Last month	Current	Path to Green / Target
Customer Outcomes	▪ As a customer, make my experience applying for a mortgage the simplest	▪ Greater self-service options for customers and quickly provide offer certainty	▪ No of applications through digital mortgage channel, #		-	180	37	80%	70%	60%	
	▪ Objective 2	▪ Objective 2	▪ Result 2		-	-	-	40%	50%	70%	
	To be customised as per client context										
Business Outcomes	To be customised as per client context										
Risk Outcomes	To be customised as per client context										
Architecture Outcomes	To be customised as per client context										
Delivery Effective-ness	To be customised as per client context										

Journey Team Dashboard – overview of contents

Summary	▪ Qualitative explanation of overall summary, key successes and main blockers/ issues across Journey Team
Outcomes / OKRs	▪ Detailed view of 3 year objectives, 6 month objectives and key results (OKRs); quantification of OKRs and 3 month confidence trend for Journey Team
Financials	▪ Key financial metrics at Journey Team level: return on investment (cumulative trend); investment (month by month and cumulative trend); revenue benefits (month by month and cumulative trend); and cost benefits (cost spent per story, month by month and cumulative trend)
Delivery	**DELIVERY EFFICIENCY** ▪ Current status of Pace metrics (e.g., end-to-end cycle time) and quality metrics (e.g., resolved vs open incident in production) for Feature Teams within Journey Team **DELIVERY QUALITY** ▪ Benefits delivered by squads (e.g., capacity saved, revenue uplift), shown by release ▪ Percentage of committed sprint backlog items delivered in each sprint
Sustainability	▪ Comparison of aspiration and actual metrics for indicators of People and Health (e.g., Team Health); Status of capability building across key skills within Journey Team

Journey Team Dashboard – Summary (1/2)

ILLUSTRATIVE

Summary | Financial Deep-dive | Key programs | Compliance

Value stream	Mortgages
Journey Team	…
Product Owner	…
Technical Architect	…
Sprint	07/05
Date	21/05

Overall Summary

…

Key successes in this cycle

…

Major blockers/issues

…

1. OUTCOMES

	3 year Objective	Q2 2018 Objective	Metric	Current phase	2017 Baseline	Q2 2018 Results: Q2 2018 Target	Q2 2018 Results: Current	Confidence to achieve Q2 target (0-100%): 2 months ago	Confidence to achieve Q2 target (0-100%): Last month	Confidence to achieve Q2 target (0-100%): Current
Customer	As a customer, make my experience applying for a mortgage the simplest	Greater self-service options for customers and quickly provide offer certainty	No of applications through digital mortgage channel, #	Pre-Go Live testing	-	180	46	80%	70%	60%
Risk	Objective 2	Objective 2	Metric 2	…	…	…	…	xx%	xx%	xx%

2. DETAILED DELIVERY OUTCOMES

Squad metrics

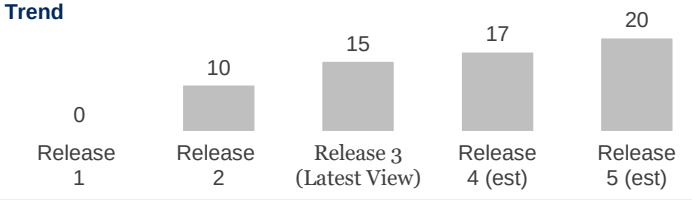
Feature delivery, % committed sprint backlog items delivered in each sprint

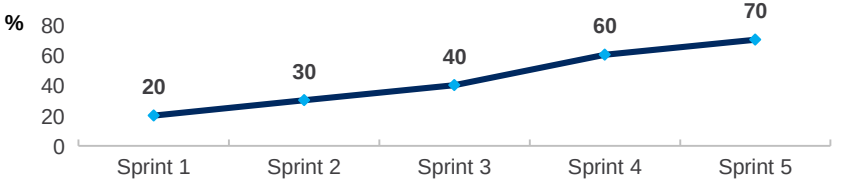
Squad 1

Metric

Capacity saved in XX department due to automation of doc processing, % (cumulative)

Trend



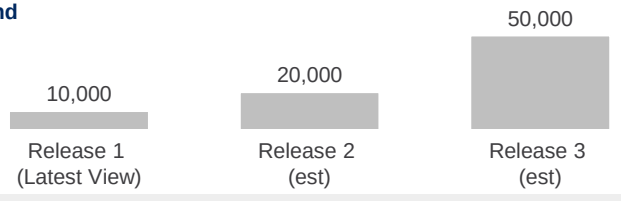


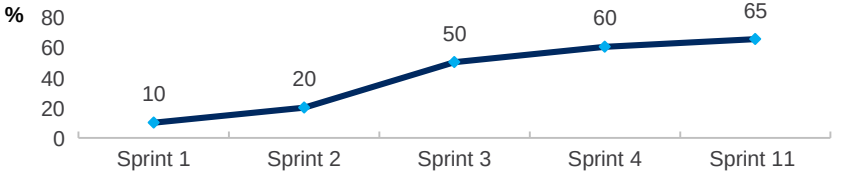
Squad 2

Metric

Revenue uplift, RM'000

Trend



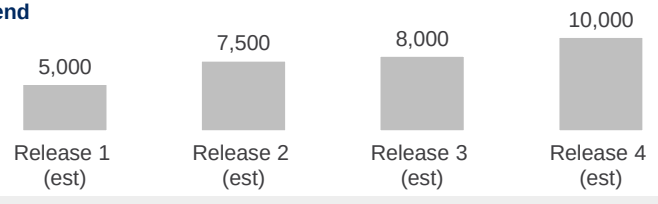


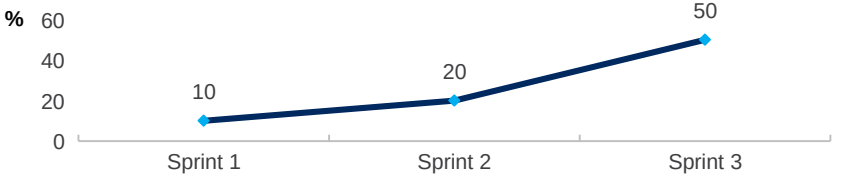
Squad 3

Metric

<Metric>, unit

Trend





Journey Team Dashboard – Summary (2/2)

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

ILLUSTRATIVE

Summary

Financial Deep-dive

Key programs

Compliance

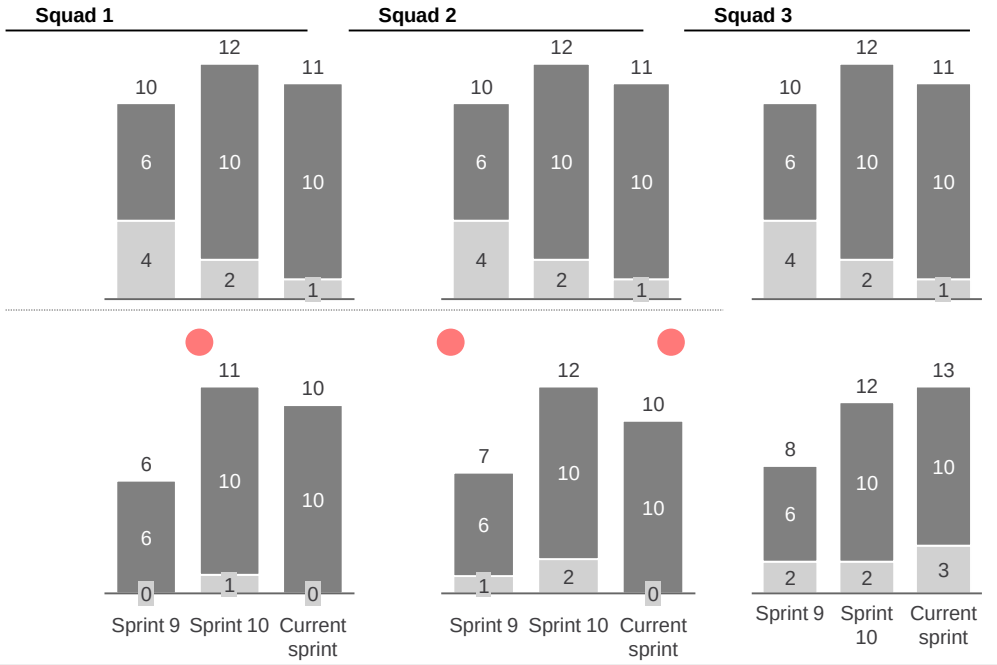
3. DELIVERY EFFICIENCY

PACE

Metric (Current)	Squad 1	Squad 2	Squad 3
End-to-end cycle time from In-Analysis to Live, weeks	12	10	16
Cycle time from DoR to DoD, weeks	6	4	8
Cycle time from DoD to Live, weeks	6	6	8
Commitment reliability (sprint backlog items delivered/total number of committed sprint backlog items), %	0.2	1.1	1
Average number of handoffs outside of team, # / release	0.8	2	3
Velocity sustainability, # (velocity in sprint / avg. velocity in last 3 sprints)	1	1	1
Automated test coverage, %	92%	70%	70%

QUALITY

Resolved (current) | Remain open (current)



4. SUSTAINABILITY

PEOPLE AND HEALTH

Metric	Current
Team Health, % Happy	34% Happy
Number of vacancies overdue by more than two weeks, #	15
Tooth to Tail Ratio (ratio of developers to managers), %	50%

CAPABILITY BUILDING, Percent of team members

Key skills	No Exposure	Developing	Skilled	Expert / Coach
Agile Ways of Working	60%	20%	20%	0%
Agile Delivery Methodology	60%	20%	20%	0%
Service Design	30%	20%	20%	30%
Systems Thinking	20%	30%	15%	35%

Journey Team Dashboard – Financial Deep-dive

X% % of stories carried over | Budgeted | Actual

ILLUSTRATIVE

Summary

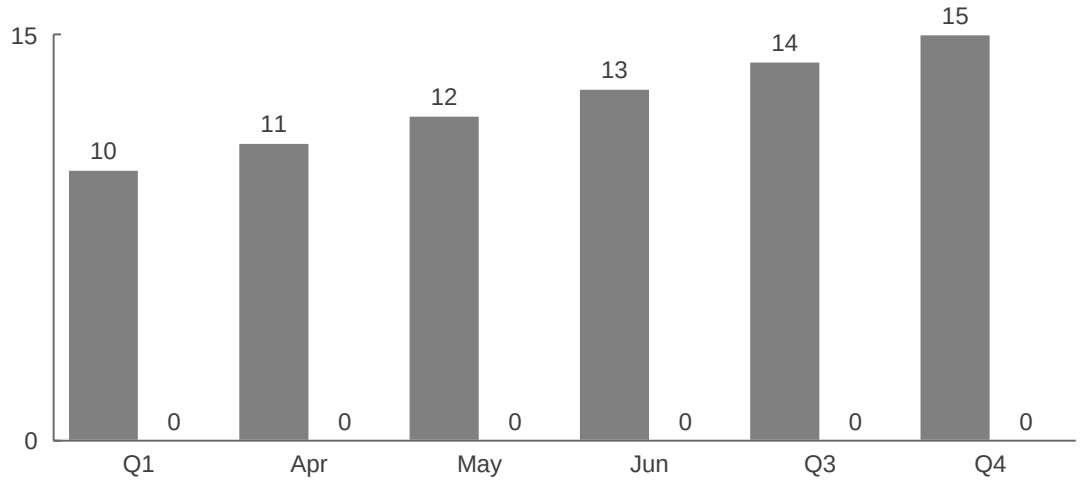
Financial Deep-dive

Key programs

Compliance

RETURN ON INVESTMENT, %

Trend

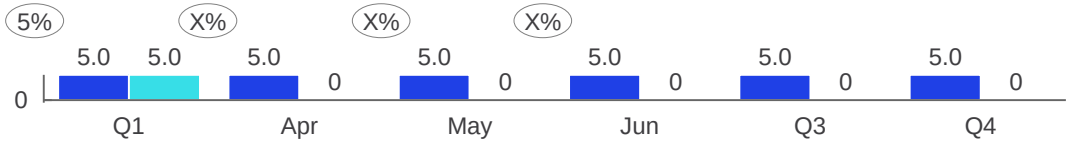


INVESTMENT, RM mil unless otherwise stated

Month by month trend

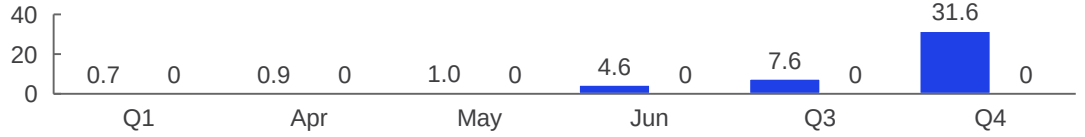
Cumulative for 2018

Cost per story, RM'000

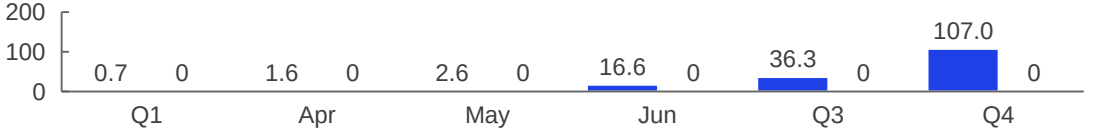


REVENUE BENEFITS, RM mil

Month by month trend

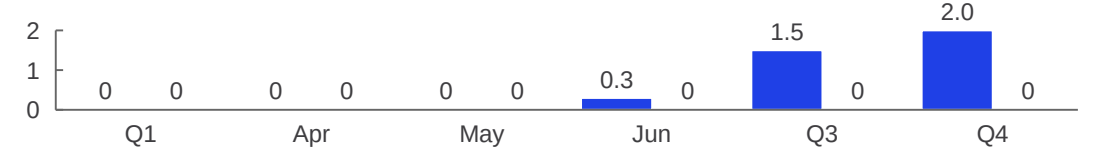


Cumulative for 2018

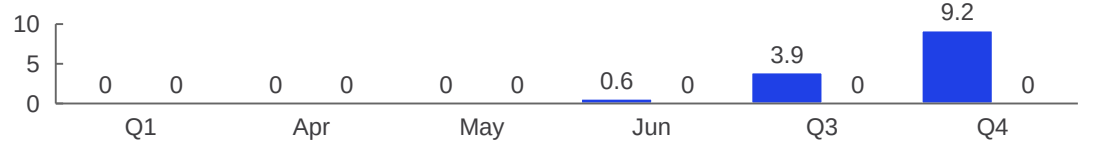


COST BENEFITS, RM mil

Month by month trend



Cumulative for 2018



Transformation Backbone

Journey Team Dashboard – Squad-level

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

Probability of occurrence (%)

ILLUSTRATIVE

Summary

Value stream	Mortgages
Journey Team	…
Product Owner	…
Technical Architect	…
Sprint	07/05
Date	21/05

Financial Deep-dive

Overall Summary

…

Squad Deep dive

Key successes in this cycle

…

Compliance

Major blockers/issues

…

LAGGING INDICATORS

	Metric	Status	Budget/Lifecycle	Best	Likely	Worst
Budget variance	2018 Investment, RMM		5.9	5.0 10%	5.9 60%	6.5 30%
Benefits	Customers Impacted, #		100,000	120,000 10%	90,000 70%	60,000 10%
	Metric 2		XX	XX XX%	XX XX%	XX XX%

	Overall	Status	Planned Date	Ahead	On Time	Delayed
Schedule variance	Overall schedule variance		Dec. 2018	60%	20%	20%
	Compliance with regulatory requirements		June 2018	20%	40%	40%
	Key releases/milestones					
	Release 1		XX	XX%	XX%	XX%
	Release 2		XX	XX%	XX%	XX%

LEADING INDICATORS

	Metric	Status	Path to Green mitigation actions
Scope	Scope definition		…
	External Dependencies		…
Risk mitigation	Mitigation activities		…
	Risk mitigation burndown		…
Knowledge requirements	Availability of key skillsets		…
Journey Team health and sustainability	Team health & staffing		…
	Working hours		…
	Infrastructure availability / service		…

Journey Team Dashboard – Compliance Portfolio

- On-track to meet target/threshold or >80% confidence level
- Minor deviation from target/threshold or 60-80% confidence level
- Significant deviation from target/threshold or <60% confidence level

ILLUSTRATIVE

Summary

Financial Deep-dive

Key programs

Compliance

COMPLIANCE PROJECTS

Programme	Compliance date	Progress to meet regulatory milestones	Budget variance	Path to Green mitigation actions
Programme 1	30-Jun-2018	Minor deviation	Minor deviation	…
Programme 2	21-Mar-2019	On-track	On-track	…
Programme 3	21-Mar-2019	On-track	On-track	…
…	21-Mar-2019	On-track	On-track	…

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- **How to operationalize the dashboards**
- Sample dashboards generated in DevOps toolings
- Sample tools for measuring Sustainability

The dashboard will be built out gradually

Category		Sample metrics[1]	Source of insight	Data collection frequency	When to start measuring these metrics?	Owner of metric
Delivery	Efficiency / Pace	▪ Schedule variance ▪ End-to-end cycle time	▪ Jira	Live	From start of Wave 1	Scrum Master with support from Agile Coach
	Quality	▪ Severity 1 and 2 defects	▪ Jira	Live	From start of Wave 1	Scrum Master with support from Agile Coach
Outcomes / OKRs		▪ Defined by each Journey Team	▪ To be discussed with BU stakeholders	Monthly (at minimum)	As first impact is expected	Journey Navigator with support from Value Assurance
Financials		▪ TCJ expenditure against budget ▪ Overall cost and revenue benefit	▪ TCJ Finance ▪ Refer to financial OKRs	Monthly	From start of Wave 1	TCJ Finance
Sustainability		▪ Team health ▪ Capability building ▪ Staffing	▪ Quick survey / pulse check ▪ Quick survey / pulse check ▪ Excel-based resource planning and recruitment tracker	Weekly	From start of Wave 1 From start of Wave 1 Ongoing	Scrum Master Central Team Central Team
Risks and dependencies		▪ Free text entry	▪ Manual input by team members	Weekly	Ongoing	Various members
Compliance		▪ Status of regulatory milestones	▪ Manual input by team members	Weekly	As needed	TCJ Compliance
Strategic metrics		▪ Market share	▪ To be discussed with BU stakeholders	Weekly	As needed	Various members

1 More examples on next page; actual metrics to be finalized by Transformation Management workstream

Glossary of metrics to be tracked from Wave 1 (1/2)

Category	Metric	Definition	Is an increase in this metric good? (Good/Bad/na)	Explanation
Delivery Efficiency	E2E Cycle time from In-Analysis to Live	Average number of weeks that each story spent going from In-Analysis to Live state	Bad	With implementation of Agile and DevOps the cycle time to Live should reduce drastically due to rapid iterations and high deployment frequency (e.g., independent change teams)
	Automated Test Coverage	Percentage of automated test scripts divided by all test scripts	Good	Increase in usage of automated test scripts saves team capacity and improves the accuracy of testing prior to go-live leading to higher quality software development
	Time from In-Analysis to DoR	Average number of weeks that each story spent going from In-Analysis to DoR state	Bad	With implementation of Agile and DevOps the cycle time to Live should reduce drastically due to rapid iterations and high deployment frequency (e.g., independent change teams)
	Time from DoR to DoD	Average number of weeks that each story spent going from DoR to DoD state	Bad	
	Time from DoD to Live	Average number of weeks that each story spent going from DoD to Live state	Bad	
	Commitment reliability	Sprint backlog items delivered divided by total number of committed sprint backlog items	N/A	Modest increases are good; however significant increases indicate that the team did not size the complexity/effort for the stories accurately. Decreases could also indicate inaccurate complexity/effort sizing rather than slow delivery.
	Velocity Sustainability	Velocity in last sprint divided by average velocity over the last 3 sprints	N/A	In a steady state, mature team, this metric should stay constant, indicating that the team is at capacity and working at a sustainable pace. Prior to steady state, there may be transition points in which there is a significant increase in this metric, which is a good sign of improving Agile/DevOps maturity.
	Number of handoffs outside lab	Average number of handoffs to non-lab members required across stories per sprint	Bad	Increase indicates that the DevOps toolchain is not fully integrated and that the lab / Squad is not fully independent to release changes into Production.
	Deployment Frequency	Number of releases into Production environment per sprint	Good	Increase indicates that the team is rapidly iterating / testing and learning to improve the solution.
	Cumulative work flow	Number and trend of story points in each state as defined in the chart in the Squad dashboard	N/A	A deviating trend in size of backlog and size of stories in development / stories released into Production indicates that demand and supply are not in sync.
Delivery Quality	Incidents identified post live (in production)	Number of incidents in Production	Bad	Increase indicates incomplete / poor quality development and testing as incidents are encountered while the application is live.
	Defects identified between DoD to Live	Number of defects identified between DoD to Live	Bad	Increase indicates poorly defined / adhered to DoD state as the application needs to satisfy all user acceptance criteria before reaching DoD

Glossary of metrics to be tracked from Wave 1 (2/2)

Category	Metric	Definition	Is an increase in this metric good? (Good/Bad/na)	Explanation
Outcomes	Customer	OKRs - defined by value stream / lab	Good	Increasing confidence level to achieve each OKR is a good sign that the value stream will achieve its targets
	Business	OKRs - defined by value stream / lab	Good	Increasing confidence level to achieve each OKR is a good sign that the value stream will achieve its targets
	Architecture	OKRs - defined by value stream / lab	Good	Increasing confidence level to achieve each OKR is a good sign that the value stream will achieve its targets
	Risk	OKRs - defined by value stream / lab	Good	Increasing confidence level to achieve each OKR is a good sign that the value stream will achieve its targets
	Delivery Effectiveness	OKRs - defined by value stream / lab	Good	Increasing confidence level to achieve each OKR is a good sign that the value stream will achieve its targets
Financials	Budget variance	Variance from expected / projected budget (red = >10% variance, light green = >0--10% variance, dark green = 0% variance)	Bad	High positive budget variance indicates overspend which is a bad sign, and high negative variance indicates poor forecasting / estimation which is also a bad sign.
	Path to Green mitigation actions	Mitigation actions to move to dark green	N/A	Increase/decrease is not applicable to this metric
	Latest view of investment spent per release	Latest view of investment spent per release	N/A	Increase/decrease is not applicable to this metric
	Latest view of cost and revenue benefits per release	Latest view of cost and revenue benefits per release	N/A	Increase/decrease is not applicable to this metric
Sustainability	Team Health	Typically a survey; definition needs to be standardised, currently depends on how each value stream measures it	Good	Increase indicates higher employee engagement and satisfaction
	Capability building maturity matrix	Percentage of team members at each maturity level for each skill (e.g. agile practices, tech)	N/A	Increase in percentage of employees achieving higher maturity levels in key skills is good; however, there needs to be a balanced pipeline of new and experienced team members for the team set-up to be sustainable and operate effectively
	Resource planning	Latest view of vacancies filled vs. available vacancies	N/A	Increase/decrease is not applicable to this metric
Dependen-cies	Critical Dependencies	Red-Amber-Green status on whether dependencies have been interlocked and are well managed	N/A	Increase/decrease is not applicable to this metric

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Each Journey Team will have its own environment in JIRA, where it can track its productivity during the current sprint and overall

Description

Purpose

- Tracking progress of any squad

Mechanics

- Data and charts are updated automatically as squad fills in sprint progress

Tool

JIRA

Frequency

- Ongoing (live)

Sample squad dashboard

Burndown chart

Shows chronological progress and dynamics in workload completion during the sprint, allows to assess possibility of sprint goal achievement

Used everyday

Velocity chart

Shows dynamics in planned and completed workload during a sprint. Also shows how a squad improves planning and delivery skills over time

Used every sprint on planning and retro

List of issues

Shows high priority issues for the team. Can be customized to show open, in progress, or pressing issues

Used everyday

Sprint health

Shows sprint progress in numbers: time elapsed, % of work completed, issues done, issues in progress, issues to do, blocker issues, flagged issues

Used everyday

Issue type statistics

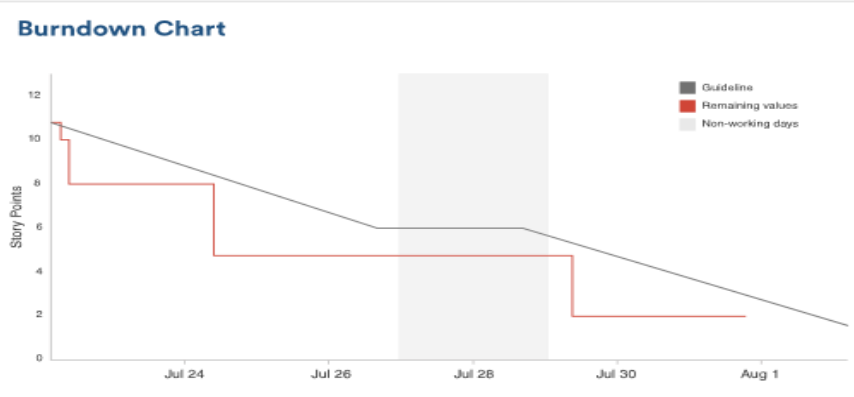
Shows issue distribution in terms of user stories, bug and maintenance

Used every sprint on planning and retro

Burndown and velocity charts are the main tools to track productivity and value delivered by squad

ILLUSTRATIVE

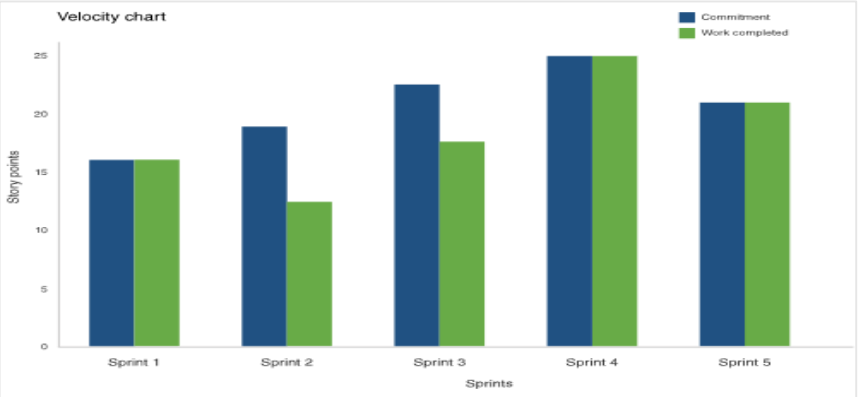
Burndown chart shows completion of work during the sprint



Anti-patterns to watch for:

- Team finishes sprint after sprint early because it doesn't commit to enough work
- Team misses it's forecast sprint after sprint because it commits to too much work
- Burndown line makes steep drops rather than burns gradually because the work hasn't been broken down into granular enough pieces
- Product owner adds work or changes the scope mid-sprint

Velocity chart shows amount of value delivered in each sprint

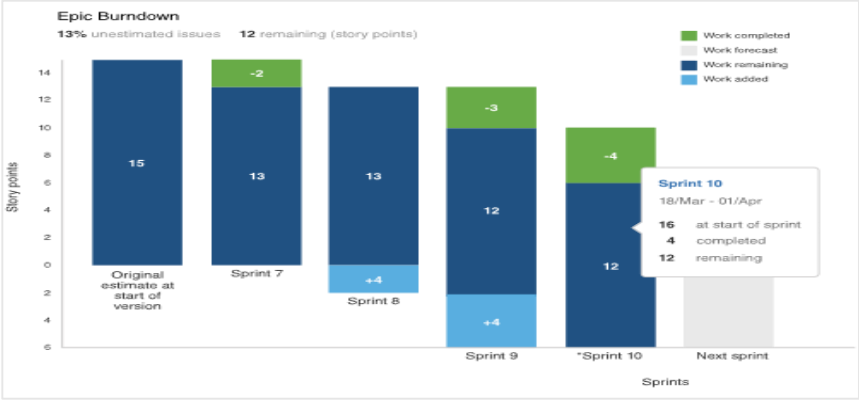


Anti-patterns to watch for:

- When velocity is erratic over a long period of time, always revisit team's estimation practices. During the team's retrospective, ask the following questions:
  - Are there unforeseen challenges team didn't account for when estimating the work? How can it better break down work to uncover some of the challenges?
  - Is there outside business pressure pushing the team beyond its limits? Is adherence to development best practices suffering as a result?
  - Is the team overzealous in forecasting for the sprint?

Epic burndown charts allow to track progress over a number of sprints

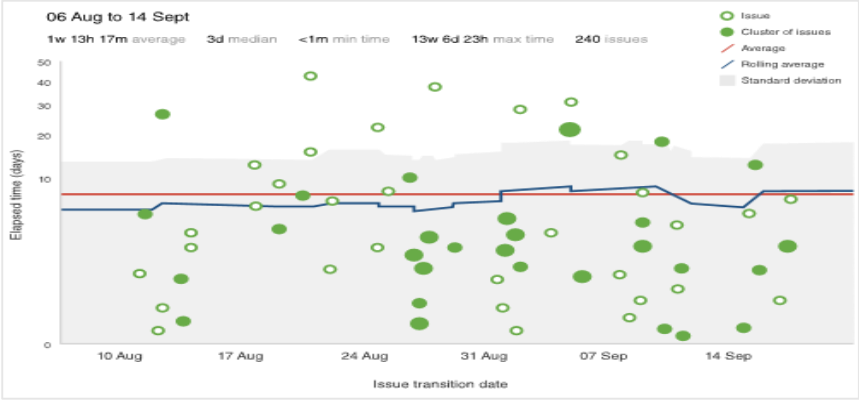
Epic and release (version) burndown charts track progress of development of a large body of work



Anti-patterns to watch for:

- Epic or release forecasts aren't updated as the team churns through the work
- No progress is made over a period of several iterations
- Chronic scope creep, which may be a sign that the product owner doesn't fully understand the problem that body of work is trying to solve
- Scope grows faster than the team can absorb it
- The team isn't shipping incremental releases throughout the development of an epic

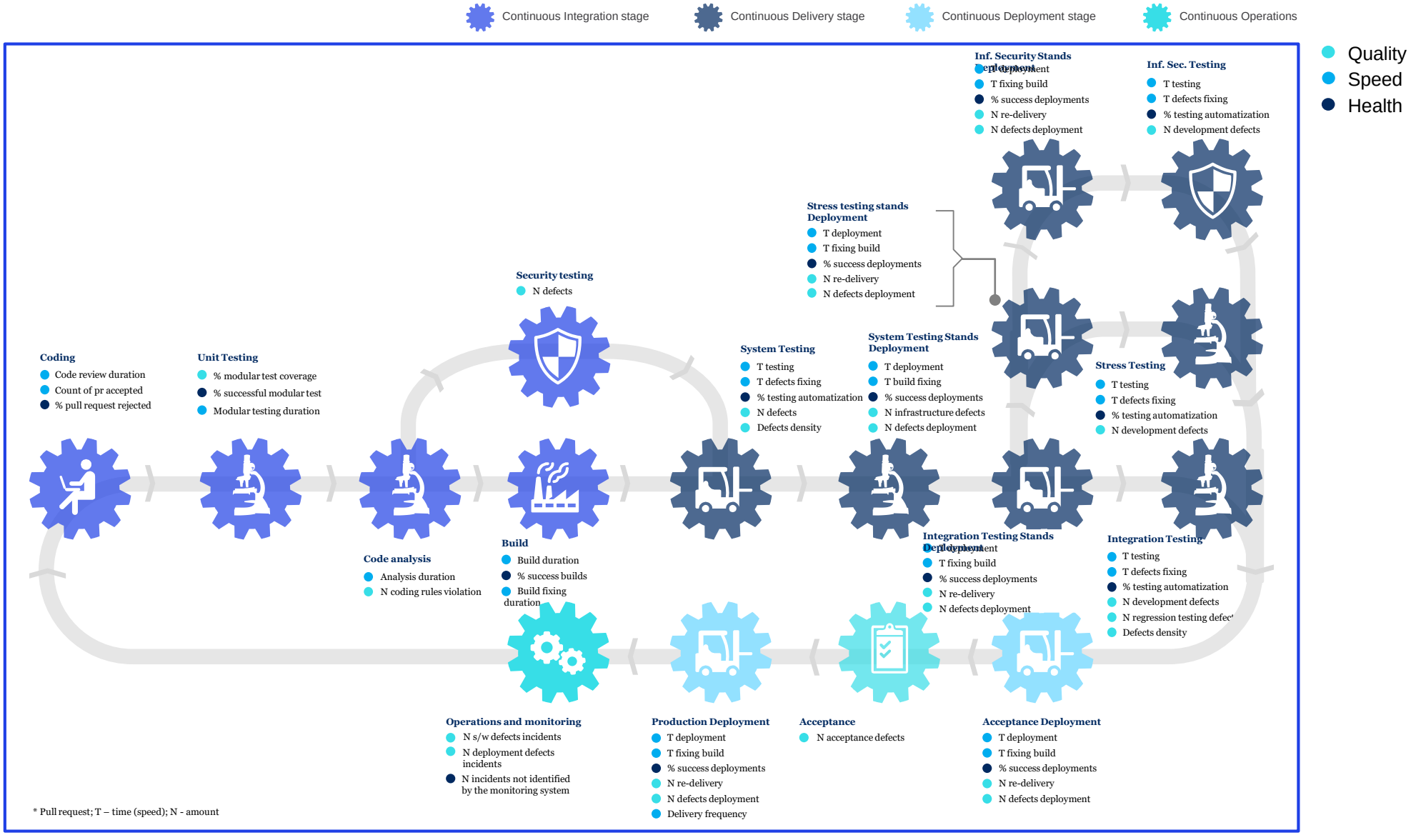
Control charts focus on the cycle time of individual issues – the total time from "in progress" to "done"



Anti-patterns to watch for:

- **Increasing cycle time** – Increasing cycle time saps the team of its hard-earned agility - in the team's retrospective take time to understand an increase. One exception: if the team's definition of done has expanded, cycle time will probably expand too
- **Erratic cycle time** – goal is to have consistent cycle time for work items which have similar story point values. If cycle time is erratic on small and large story point values, spend time in the retrospective examining the misses and improving future estimation

Numerous metrics from the DevOps pipeline can be used for regular monitoring



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TCJ Journey Team barometer (1/4)

This barometer is a standardized survey that is sent to all Journey Team members on a bi-weekly basis

	Rating				
Questions	**Completely unhappy**	**Unhappy**	**Happy**	**Completely happy**	**Completely happy**
Please select one option (1-5) for each question below					
1. PERSONAL EXCITEMENT: I have been excited overall about my experience on this Journey Team	1 No, I am looking forward to leaving this team	2 Somewhat – my excitement level has varied	3 Yes, I have been excited	4 Yes, I have been very excited	5 Yes, this has been one of the most exciting stints
2. LEADERSHIP: The TCJ leadership team has spent enough time and has engaged with the working team in a constructive way	1 No, leader engagement has not been adequate	2 At times – engagement by the leadership team has varied	3 Yes, leader engagement has been adequate	4 Yes, leader engagement has been very good	5 Yes, leader engagement has been among the best I have seen
3. TRUST AND AUTONOMY: My team has trusted in my skills, commitment, and good intentions; I felt free to do my best work. There is an atmosphere of and mutual respect within the working team.	1 No, trust and autonomy have not been adequate	2 At times – levels of trust and autonomy have varied	3 Yes, trust and autonomy have been adequate	4 Yes, trust and autonomy have been very high	5 Yes, trust and autonomy have been among the best I have seen
4. TRANSPARENCY: Team members have been open and transparent with each other	1 No, we have had little openness and transparency in the team	2 At times – openness and transparency have varied	3 Yes, openness and transparency have been adequate	4 Yes, transparency in the team has been very good	5 Yes, transparency in the team has been exceptional
5. LASTING IMPACT: Our work has had distinctive, lasting and substantial impact to the customer journey	1 No, I don’t see how my work has made progress toward impact	2 I have some idea of how my work made progress toward impact	3 Yes, my work has made real progress toward impact	4 Yes, my work has made a lot of progress toward impact	5 Yes, my work has made a huge progress toward impact

TCJ Journey Team barometer (2/4)

Questions	Rating				
	Completely unhappy	Unhappy	Happy	Completely happy	Completely happy
6. SCOPING: Our team has been aligned on the path to impact, and the team has had sufficient time and resources	1 No, our work has been poorly scoped/resourced	2 Somewhat – our scoping/resourcing has been inadequate	3 Yes, our work has been adequately scoped/resourced	4 Yes, our work has been scoped/ resourced very well	5 Yes, our work has been exceptionally scoped/resourced
7. FOCUS AND STRUCTURE: We spent our time on what adds value through alignment, clear roles and structured problem solving. We work efficiently (e.g, avoiding unnecessary rework)	1 No, we frequently spent time on low-value activities	2 Somewhat – we spent a bit too much time on low-value activities	3 Yes, we spent adequate time on activities that added value	4 Yes, nearly all time went to activities that added high value	5 Yes, all time went to activities that added high value
8. STAKEHOLDER ENGAGEMENT: We are engaging the right level of stakeholders at the right times on the right issues	1 No, we haven't been interacting with the right stakeholders	2 We have identified stakeholders but haven't managed to interact with them	3 We have identified stakeholders but haven't consistently engaged them	4 We are engaging our stakeholders often, but could manage them better	5 Yes, we have great buy-in from stakeholders throughout the project
9. PERSONAL GROWTH: I am satisfied with my professional development in this team. My role is well-defined and clearly scoped, my team helps me find opportunities to grow.	1 No, we have not found real growth opportunities	2 At times – presence of growth opportunities have varied	3 Yes, my team has helped me develop fundamental skills	4 Yes, my team has helped me develop skills and strengths	5 Yes, my team has helped me develop skills/strength deeply
10. FEEDBACK: I receive timely and effective coaching and feedback	1 No, certain team members have not given me enough coaching	2 At times – feedback and coaching have been varied	3 Yes, team members have given adequate feedback and coaching	4 Yes, teammates have spent uncommon time on feedback	5 Yes, team members have shown deep, genuine caring for my development

TCJ Journey Team barometer (3/4)

Questions	Rating				
	Completely unhappy	Unhappy	Happy	Completely happy	Completely happy
11. TEAM DYNAMICS: We have had fun – we know how to laugh, and there is a sense of team connectedness that foes beyond the work	1 No, we haven't been having much fun	2 At times – we have had some fun moments here and there	3 Yes, we have made time for fun moments	4 Yes, we have had an ongoing fun atmosphere in the team	5 Yes, this has been one of my most fun teams
12. TEAM DYNAMICS: My team adheres to defined team norms, held regular check-ins, and took action when needed	1 No, we haven't clearly defined our team norms	2 We have known our norms but haven't consistently taken action	3 Yes, we have known our norms and taken action as needed	4 Yes, we have had norms and nearly always adhered to them	5 Yes, we have had team norms and consistently adhered to them
13. LIFESTYLE: My lifestyle (hours and pace of work) has been sustainable	1 No, the lifestyle in not sustainable over time	2 Somewhat – there are times when the lifestyle in unsustainable	3 Yes, the lifestyle is sustainable over time	4 Yes, the lifestyle allows for great work/ life balance	5 Yes, the lifestyle allows for ideal work/ life balance
14. LIFESTYLE: Number of hours worked during the week on average?	>60	50-60	50-60	40-50	<40

TCJ Journey Team barometer (4/4)

Questions	Rating				
	Completely unhappy	Unhappy	Happy	Completely happy	Completely happy
15. My team has a TeamTalk about the last barometers results	1 N/A – for a valid reason, e.g., team just started or other, our team was not able to have a TeamTalk	2 No, we did not hold a TeamTalk but could have	3 Yes, we had a TeamTalk, but it was not impactful	4 Yes, we had a good TeamTalk that caused our team to improve	5 Yes, we had an exceptionally impactful TeamTalk where we openly discussed team strengths and areas to improve
16. Suggestions on how the team could improve					
17. Additional comments					

2.1 Agile maturity grid – rating scales (1/12)

This assessment is a structured way for Agile Coaches to assess agile capabilities within each Journey Team.

Dimension	Beginner	Intermediate	Mature	Expert
Under-standing of product owner's role	▪ There is a single person who exclusively fills the role of product owner for a dedicated team ▪ The product owner is in a position to — Gather information from stakeholders on their requirements and communicate results to them — Provide rudimentary documentation of the requirements ▪ The product owner takes part in all regular meetings ▪ The product owner can say how much is budgeted for a product	*Includes all aspects of "beginner" rating, plus:* ▪ The product owner is capable of prioritizing user stories and regularly negotiating epics with stakeholders ▪ The product owner is capable of writing sufficiently high-quality user stories and keeping his/her backlog updated ▪ The product owner communicates proactively with the team and has a dedicated work station in the team's space (colocation) ▪ The product owner can communicate what capabilities are needed and optimize them with the help of the project organization	*Includes all aspects of "beginner" and "intermediate" ratings, plus:* ▪ The product owner is completely independent, with the authority and responsibility to make all decisions regarding prioritization, product features, and delivery (as long as the team assesses them as feasible) ▪ The product owner can communicate reliable short-term plans to stakeholders, including content based on prioritization and effort required ▪ The product owner precisely knows the team's velocity	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ The product owner is capable of communicating reliable forecasts on whether more distant project targets will be met and to manage these efforts (via prioritization) in alignment with stakeholders and sponsor ▪ The product owner is a key driver and innovator within the company ▪ The product owner has an excellent understanding of the vision for the products and the intermediate steps to achieve it, and is capable of communicating these effectively

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (2/12)

Dimension	Beginner	Intermediate	Mature	Expert
Under-standing of team's role	▪ The team is assigned to the designated project on a 100% basis (or as close as possible) ▪ Team members understand that they are jointly responsible for the end products and the project ▪ The team produces the bulk of the value added during the development on its own ▪ The entire team participates in all regular meetings ▪ Team members fully understands the theory behind the Scrum approach	*Includes all aspects of "beginner" rating, plus:* ▪ The team is capable of effectively organizing the daily stand-ups on its own ▪ In the replenishment meetings, the team makes sure that the product owner delivers all relevant acceptance criteria and documents any open questions ▪ The team escalates delivery or workflow problems to the agile coach and product owner early on (at the next possible point in time) ▪ The developer does not agree to handle any additional work during development of a task	*Includes all aspects of "beginner" and "intermediate" ratings, plus:* ▪ The team fully understands its responsibility for the quality of the end products and defends quality standards against pressure from the product owner ▪ The team develops an optimized version of the definition of done based on the results of the retrospectives in order to prevent future impediments ▪ Team members are aware that making a commitment is a moral contract and take all reasonable steps to fulfill their commitments ▪ The team delivers reliable estimates to the product owner based on the story point principle so that long-term planning is possible	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ The team is capable of quickly making new team members familiar with the work approach, responsibilities, and rhythms within the team. The team requires only minimal support from the agile coach (self-organizing)

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (3/12)

Dimension	Beginner	Intermediate	Mature	Expert
Team communi-cation	▪ The team is capable of discussing issues effectively and objectively ▪ Personal feeling can be efficiently separated from project issues ▪ Communication tools are used inefficiently (e.g., e-mail ping-pong) or not at all ▪ Few functioning coverage rules for absences in place ▪ The team does not take steps independently to get information (e.g., including outside of stand-up)	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ When developing estimates of required cost and effort (e.g., as part of replenishment procedures) all concerns, questions, and experiences are accepted without objection in order to create the most informed estimate possible ▪ The team is aware that it is responsible for finding out all information required to create reliable estimates ▪ Team members independently use asynchronous tools (such as chat programs) to distribute information that supports team self-organization and avoid e-mail ping-pong ▪ Team members ensure effective handovers take place when absences occur and share information on all important topics, including outside the daily stand-up ▪ The team ensures that effective coverage rules for absences are in place

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (4/12)

Dimension	Beginner	Intermediate	Mature	Expert
(Team's) sense of responsi-bility for perfor-mance	▪ The team is not yet independent (takes little ownership), which becomes apparent in terms of — Unbalanced workload — Large fluctuations in performance — Lack of planning certainty	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ Team assumes responsibility for optimal planning: — Balanced workload — Active advising of product owner during planning meetings on prioritizing user stories — High level of motivation — Planning certainty
Commit-ment	▪ The team makes commitments to the product owner after planning, but rarely meets them while fulfilling the quality requirements (definition of done)	Includes all aspects of "beginner" rating, plus: ▪ Team commitments are usually met ▪ Commitments are also formulated and communicated to external stakeholders in the form of user stories ▪ The team has the uncontested right to take part in delivery planning meetings and to select the tasks in line with capacity planning	Includes all aspects of "beginner" and "intermediate" ratings, plus ▪ Team commitments are always met (apparently with ease)	Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus: ▪ Team commitments are almost always met, with a few exceptions => the team is working at its "commitment limit"

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (5/12)

Dimension	Beginner	Intermediate	Mature	Expert
Backlog and vision	▪ Backlog is enough for a month (or less) ▪ Foreseeable activities are not included in backlog planning ▪ Team has very little idea about what should happen after the current month	*Includes all aspects of "beginner" rating, plus:* ▪ Product owner creates, maintains, and defends a product backlog (at least 1 minimum viable product) ▪ Backlog is in place for at least the current month ▪ Effort needed to complete work packages on top of backlog is still difficult to estimate	*Includes all aspects of "beginner" and "intermediate" ratings, plus:* ▪ Work packages are divided up in way that makes them easy to understand and estimate ▪ Backlog is roughly defined for at least 2 months	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ Backlog is roughly defined for at least 3 months ▪ Product owner provides reliable release planning to enable transparent cost controlling and steering by sponsors ▪ Product owners rarely needs to present stories since the team has already seen them often
Avail-ability	▪ Some disputes with the line organization about resources ▪ Tendency to underestimate the work required in agile teams; e.g., even core members assigned to team on a part-time basis	▪ Fewer disputes about resources ▪ Core members assigned to the project team on a 100% basis (or as close as possible) ▪ Additional resources can be made available on short notice (and ad hoc)	▪ In an advanced organization, resources in business-side departments can be completely (up to 100%) allocated to the project. They then essentially act as internal connection points to stakeholders from these departments, with the corresponding responsibility regarding end products and concrete stakeholder decisions	▪ In agile organizations, specialized service teams can form to cover, e.g., legal issues for a number of project teams (value stream organization). The line structure no longer acts as an obstacle to the value chain. A matrix model in which relevant resources are assigned to each team is also an option

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (6/12)

Dimension	Beginner	Intermediate	Mature	Expert
Delivery planning	▪ Delivery planning meetings take place ▪ Product owner only presents stories that meet the definition of ready ▪ No planning certainty due to lack of constant velocity => frequent discussions on scope of stories and number of story points; over- or under commitment a common problem	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ Nearly constant velocity results in planning certainty ▪ Planning takes account of planned absences such as vacation, holidays, training and training, as well as capacity reserves for issues that the team handles on an ongoing basis (e.g., fixing software errors, preparing editorial content, etc.
Replenish-ment meeting	▪ Replenishment meetings take place ▪ Sufficient stories are prepared for the next month	*Includes all aspects of "beginner" rating, plus:* ▪ The team can roughly estimate the work involved for the requested stories	*Includes all aspects of "beginner" and "intermediate" ratings, plus:* The team can provide reliable estimates	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ Planning certainty ▪ The team can reliably lay out more than 1 month in advance

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (7/12)

Dimension	Beginner	Intermediate	Mature	Expert
Retro-spective meetings	▪ Retrospectives take place but produce very few action items (potential improvements) that will overcome impediments, relieve pain points, or strengthen positive aspects ▪ Problems arise in implementing identified action items ▪ Team and product owner are barely prepared	*Includes all aspects of "beginner" rating, plus:* ▪ A few action items are identified and implemented ▪ Team and product owner are prepared	*Includes all aspects of "beginner" and "intermediate" ratings, plus:* ▪ Many action items (to both avoid negative aspects and strengthen positive ones) are identified and implemented	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ The team is highly motivated and identifies more action items than can be implemented in a single print => there is always a backlog of action items
Daily stand-ups	▪ All team members (including product owner) take part in every daily stand-up ▪ Every team member answers the standard questions ▪ No distractions interrupt the meeting ▪ The product owner is not allowed to talk (except to answer questions or share important information with the team)	*Includes all aspects of "beginner" rating, plus* ▪ The team is capable of efficient self-organization ▪ Each team member actively com-municates problems and over-capacity, and offers to help with other team members experience problems or bottlenecks ▪ If the delivery planning meeting has produced faulty planning, the team recognizes the problem early on	*Includes all aspects of "beginner" and "intermediate" ratings, plus* ▪ The team escalates and proactively eliminates impediments keeping them from achieving their objective for the coming month	*Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus:* ▪ The team is capable of holding the daily stand-up without any facilitation and on their own

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (8/12)

Dimension	Beginner	Intermediate	Mature	Expert
Delivery reviews (team + PO + stake-holders)	▪ Reviews take place where the product owner accepts or rejects the end products for the user stories that the team worked on in the past month ▪ Discussions of acceptance criteria (definition of done) continue to take place ▪ The review is often the first time that the product owner sees how the stories have been implemented ▪ Frequent disagreements between the product owner and the team continue to occur ▪ Stakeholder participation is low	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ No discussion of acceptance criteria takes place ▪ The product owner knows in advance how the stories are being implemented ▪ The review is used to formally present the end products ▪ The product owner and team work as a single unit ▪ Stakeholder participation is high
Agile perfor-mance tracking	▪ Progress and release reviews take place	Includes all aspects of "beginner" rating, plus: ▪ Reliable charts provide a sense of how much progress has been made during the past month and make it possible to determine whether achieving the objective is still possible	Includes all aspects of "beginner" and "intermediate" ratings, plus: ▪ Work progresses at a constant velocity and reliable release progress charts are available	Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus: ▪ Complete, reliable transparency is provided regarding progress ▪ Additional illustrations, such as story maps, are used

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (9/12)

Dimension	Beginner	Intermediate	Mature	Expert
Quality convention for tasks (DoD, DoR)	▪ Definition of ready (quality criteria user stories must meet before the product owner can bring them up for replenishment) and definition of done (criteria for the team to use during reviews to determine whether work on the stories has been completed) are in place, but are often the subject of discussion (rarely followed in practice)	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ Everyone uses DoD and DoR in practice (they have already become part of the PO's and team's "flesh and blood") so that discussions during replenishment sessions and reviews focus exclusively on content (instead of formal issues)
Use of task board	▪ The task board is used as a central organizational tool ▪ Not public or hard to understand, especially for outsiders such as stakeholders ▪ Not always up to date	Includes all aspects of "beginner" rating, plus ▪ Gradual improvements, e.g., external dependencies become visible as well	Includes all aspects of "beginner" and "intermediate" ratings, plus: ▪ Gradual improvements, e.g., very few tasks must be "revised" or "rewritten" after commitment	Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus: ▪ Content and project progress is 100% transparent

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (10/12)

Dimension	Beginner	Intermediate	Mature	Expert
Impedi-ment manage-ment	▪ Impediments are identified primarily by the agile coach; they are discussed and rudimentarily addressed in the retrospectives	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ Team members are capable of articulating most of their impediments themselves and defining action items to eliminate them (even outside formal retrospectives) ▪ The team independently recognizes which impediments should be escalated to the agile coach ▪ Impediments are quickly eliminated (even outside of formal retrospectives)

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (11/12)

Dimension	Beginner	Intermediate	Mature	Expert
Working with other Business Units	▪ Work with external business units generally takes place on an ad hoc basis and is unplanned	Includes all aspects of "beginner" rating, plus: ▪ Coordinated alignment with the line organization takes place	Includes all aspects of "beginner" and "intermediate" ratings, plus: ▪ Transition backlog used to steer organizational development — Transitional situations within organization are documented — Transitions effectively steered in terms of agile approach	Includes all aspects of the "beginner," "intermediate," and "mature" ratings, plus: ▪ End products, impediments, and frictional losses in work with the remaining organization are transparent, e.g., due to quantitative data: How long are tasks in progress? How long are tasks blocked? How often does a team fail to meet its objective (commitment) as a result of volatile dependencies to the rest of the organization? ▪ Depending on need, a set resource or a set amount of time and capacity is provided in the departments to handle requests from the project directly (immediately)

SOURCE: McKinsey

2.1 Agile maturity grid – rating scales (12/12)

Dimension	Beginner	Intermediate	Mature	Expert
Transparency of team-external dependencies	▪ Many external dependencies exist; in some cases these are identified and managed as such late in the process ▪ Significant and largely unforeseen delays occur due to, e.g., the unavailability of domain experts	▪ 60% of expert requirements met	▪ 80% of expert requirements met	▪ Considerable effort is spent to ensure that user stories are self-contained and the work involved can be completed entirely by the team; in other words: — User stories are more "atomistic" — Resource needs are identified early and resources are integrated into team — Remaining external dependencies are kept to a minimum (and identified early)

SOURCE: McKinsey